

BEFORE THE  
FEDERAL MARITIME COMMISSION

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DOCKET NO. 17-05

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CMI DISTRIBUTION, INC.,

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN  
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

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**CMI DISTRIBUTION, INC.'S REPLY BRIEF IN SUPPORT  
OF PETITION FOR ATTORNEYS' FEES**

CMI Distribution, Inc. ("CMI") files this Reply Brief in support of its Petition for Attorneys' Fees ("Petition") to address misleading and inaccurate representations made by Service by Air, Inc. ("SBA") in its Opposition to CMI's Petition.

**Attorneys' Fees Are Necessary to Deter Willful Violations of the Shipping Act**

SBA's primary contention is that although an award of attorneys' fees is appropriate where necessary to serve as a deterrent for acts in violation of the Shipping Act, here no deterrent is warranted because SBA's acts were "innocent, if perhaps naïve" done simply to accommodate its customers.<sup>1</sup> The evidence in the record is flatly to the contrary. First and foremost, SBA is a sophisticated multi-million-dollar entity in the transportation industry that falsely represented that it was an NVOCC and knowingly and repeatedly falsely asserted that it had a tariff when none

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<sup>1</sup> SBA's Response in Opposition to CMI's Petition for Attorney's fees at pg.4 ("SBA Opp.").

existed.<sup>2</sup> This constitutes an egregious violation of the Shipping Act that should not be countenanced. Accordingly, the equities clearly favor CMI.<sup>3</sup>

Equally baseless is SBA's assertion that "[b]y agreement with CMI, SBA marked up the demurrage charges by approximately 20% to cover" its services.<sup>4</sup> In fact, the evidence in the record actually established that SBA: 1) represented to CMI that the demurrage charges it was assessing were straight pass through charges and not marked up<sup>5</sup>; 2) issued invoices to CMI, which contained charges for Air Freight, despite the fact that all of the transportation at issue moved by ocean;<sup>6</sup> 3) made exorbitant mark ups of shipments by, for example, charging CMI \$300 per day for demurrage despite fact that the underlying charges were often only \$100 per day;<sup>7</sup> 4) refused to release containers in its possession even though there were no unpaid charges associated with those containers<sup>8</sup>; and 5) assessed demurrage against CMI when none existed.<sup>9</sup>

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<sup>2</sup> Initial Decision at 19-20, 29-30.

<sup>3</sup> SBA's assertion that there have been no allegations of improper motive or bad faith also ignores the facts set forth in CMI's original Petition regarding SBA having provided false sworn statements that it was never involved in providing ocean transportation and that no VOCC demurrage was ever charged or collected. As a result of SBA's hardball and deceptive tactics, CMI was forced to engage in extensive paper discovery and to take and defend multiple depositions to establish a record supporting the Initial Decision and the Commission's findings.

<sup>4</sup> SBA Opp. at pg. 2.

<sup>5</sup> Doc. No. 40, Declaration of Maria T. Vega at ¶ 61 ("Vega Dec.").

<sup>6</sup> Doc. No. 40, CMI Distribution Inc.' Opening Brief in Support of Its Claim Against SBA, Exhibit A-9.

<sup>7</sup> *Id.* at ¶ 64.

<sup>8</sup> Doc. No. 40, CMI Distribution, Inc.'s Proposed Findings of Fact as to SBA at ¶140 ("CMI's FoF").

<sup>9</sup> CMI's FoF at ¶ 88-90.

### **Settlement Discussions**

SBA falsely suggests that CMI refused to engage in settlement discussions both before and after entry of the Initial Decision. The facts are to the contrary. As reflected in Attachment A, on March 6, 2018, counsel for CMI reached out to inquire regarding the possibility of mediation. SBA counsel responded that he could not encourage mediation because SBA had no intention of paying a settlement. This refusal was based on SBA's conclusion that only an inconceivable blunder on the part of the Commission would result in a judgment against it.

SBA's reference to a "substantial" settlement offer after the Initial Decision is equally misleading. At that point, SBA offered to settle the case for a payment of \$50,000, with no payment of attorneys' fees, even though the award in the Initial Decision was \$126,185, and despite the fact that the decision recognized that CMI was the prevailing party. Understandably, CMI did not view that as a legitimate offer.

### **Reasonableness of Attorneys' Fees**

SBA suggests that it was unreasonable to have three different attorneys work on the matter. CMI submits that this is not at all unreasonable, especially given that one of the attorneys worked on the case for a relatively limited number of hours, and that the litigation lasted for four years.

SBA submits that although the Declaration of Brendan Collins states that CMI is not seeking recovery for work performed in regard to Las Freight, there are time entries in billings to CMI for such charges. While that is true, in its Petition CMI deducted such charges in calculating the amount of fees being sought here.<sup>10</sup>

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<sup>10</sup> The invoices attached as Exhibit A to CMI's petition reflect the actual charges submitted to CMI. Accordingly, time entries for Las Freight could not be deleted from the invoices.

### **Conclusion**

For the reasons set forth herein and in its original Petition, CMI respectfully requests attorneys' fees in the amount of \$162,921.25, and expert witness fees in the amount of \$5,000.

Respectfully Submitted,

A handwritten signature in blue ink, appearing to read "Brendan Collins", is written over a horizontal line.

Brendan Collins  
Kristine O. Little  
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*Attorneys for CMI Distribution, Inc.*

Dated: September 29, 2021

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FEDERAL MARITIME COMMISSION

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CMI DISTRIBUTION, INC.,  
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RESPONDENTS.

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**SUPPLEMENTAL DECLARATION OF BRENDAN COLLINS**  
**IN SUPPORT OF CMI DISTRIBUTION INC.'S**  
**PETITION FOR ATTORNEY'S FEES**

1. My name is Brendan Collins. I am a principal at the law firm GKG Law, P.C. ("GKG"), attorneys for Complainant CMI Distribution, Inc. ("CMI").

2. In its Opposition to CMI's Petition for Attorney's Fees, SBA states that CMI refused to engage in settlement discussions both before and after entry of the Initial Decision. The facts are to the contrary. As reflected in Attachment A hereto, on March 6, 2018, I reached out to SBA counsel to inquire about the possibility of mediation in the matter. SBA counsel responded that he could not encourage mediation because SBA had no intention of paying a settlement. This refusal was based on SBA's conclusion that only an "inconceivable blunder" on the part of the Commission would result in a judgment against SBA.

3. SBA's Opposition refers to it making a "substantial" settlement offer after the Initial Decision was entered. At that point, SBA offered to settle the case for a payment of \$50,000,

with no payment of attorneys' fees. This offer was made after the Initial Decision had been entered awarding CMI damages in the amount of \$126,185. CMI did not view that as a legitimate offer.

I declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

/s/ Brendan Collins  
Brendan Collins

Dated: September 29, 2021

# **ATTACHMENT A**

**From:** [Steven W. Block](#)  
**To:** [Brendan Collins](#)  
**Cc:** [Kristine Little](#)  
**Subject:** RE: CMI Distribution, Inc. v. Radiant Customs Services Inc., et al.  
**Date:** Tuesday, March 6, 2018 12:42:33 PM

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Brendan, it would be irresponsible of me to encourage mediation when Radiant has no intention of paying a settlement. That said, if you believe settlement talks might be useful, I will be happy to discuss it with my client. We feel that discovery has strengthened respondents' position to the point that only an inconceivable blunder by FMC would result in an adverse judgment. Steve

Steven W. Block  
**ATTORNEY**

Foster Pepper PLLC  
Tel: 206.447.7273  
Cell: 425.681.0612  
[steve.block@foster.com](mailto:steve.block@foster.com)

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**From:** Brendan Collins [<mailto:BCollins@gkglaw.com>]

**Sent:** Tuesday, March 06, 2018 9:35 AM

**To:** Steven W. Block

**Cc:** Kristine Little

**Subject:** RE: CMI Distribution, Inc. v. Radiant Customs Services Inc., et al.

You said at the deposit that Radiant wanted to pursue mediation. Is that no longer the case?

If so that is fine but please confirm.

**Brendan Collins**

**Principal**

**GKG Law, P.C.**

**1055 Thomas Jefferson Street, NW, Suite 500**

**Washington, D.C. 20007-4492**

**Tel: (202) 342-6793**

**Fax: (202) 342-5299**

**[bcollins@gkglaw.com](mailto:bcollins@gkglaw.com)**

**Visit our new website at [www.gkglaw.com](http://www.gkglaw.com)**

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**From:** Steven W. Block [<mailto:steve.block@foster.com>]

**Sent:** Tuesday, March 06, 2018 12:34 PM

**To:** Brendan Collins <[BCollins@gkglaw.com](mailto:BCollins@gkglaw.com)>

**Cc:** Kristine Little <[klittle@gkglaw.com](mailto:klittle@gkglaw.com)>

**Subject:** RE: CMI Distribution, Inc. v. Radiant Customs Services Inc., et al.

Brendan, I'm always happy to talk! However, Radiant has advised me that it will not respond to CMI's \$175,000 demand. We request that CMI voluntarily dismiss its FMC action against Radiant and SBA. If there is anything else you might like to address with me, please call me at your convenience. Steve

Steven W. Block  
**ATTORNEY**

Foster Pepper PLLC  
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**From:** Brendan Collins [<mailto:BCollins@gkglaw.com>]

**Sent:** Tuesday, March 06, 2018 9:26 AM

**To:** Steven W. Block

**Cc:** Kristine Little

**Subject:** CMI Distribution, Inc. v. Radiant Customs Services Inc., et al.

Steve, do we need to talk?

**Brendan Collins**

**Principal**

**GKG Law, P.C.**

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**Visit our new website at [www.gkglaw.com](http://www.gkglaw.com)**

## **CERTIFICATE OF SERVICE**

I do hereby certify that a true and correct copy of the foregoing document was delivered to the parties of record in this proceeding this 29th day of September 2021.

  
Brendan Collins